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Absa Group 9M20 Earnings Note

Absa Group's 9M20 PAT plunged 65.4% y/y to KES 1.5B below our expectation of a marginal growth in net earnings. The drop was driven by a KES 1.9B transition cost, a 146.7% y/y surge in loan loss provisions to KES 7.6B and a flat growth in net interest income despite a 1.1% decline in total operating expenses. We maintain our BUY recommendation on ABSA with a target price of KES 12.99 offering a potential upside of 29.9% on the current price of KES 10.00.

DATE:	**19th November 2020**
Target Price:	**KES 12.99**
Current Price:	**KES 10.00**
Upside:	**29.9%**
52 Week Low:	**KES 8.50**
52 Week High:	**KES 13.85**

Flat growth in top-line

In line with our expectations of a single digit growth, loans and advances grew 7.8% y/y to KES 209.2M which saw interest income remain flat (+1.4% y/y to KES 23.2B). This, coupled with a 4.5% y/y growth in non interest income to KES 8.3B saw total income growth of 2.5% y/y to KES 25.4B.

Improved efficiency buoys bottom line

Lagging a 4.7% y/y growth in customer deposits to KES 246.6B, the groups' interest expense remained flat (+0.8% y/y to KES 6.1B) while cost of funds improved 10bps y/y to 3.3%. Improved efficiency further saw a 1.1% decline in operating expenses to KES 12.5B.

COVID sees provisions grow

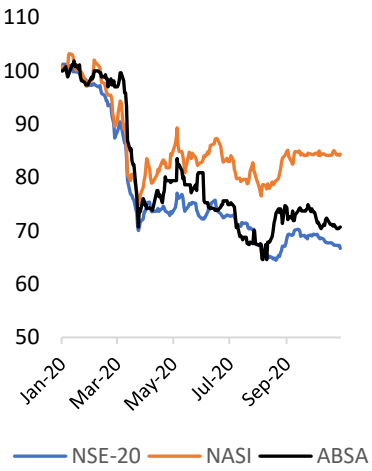
A general slowdown in business activity occasioned by the prevailing pandemic has seen a rise in the risk profile of customers. In line with market expectations, gross NPLs grew 20.8% to KES 16.8B which saw a 146.7% rise in loan loss provisions to KES 7.6B. This saw cost of risk jump 270bps y/y to 4.8%.

Outlook

The Group's 9M20 performance was below our expectation with a higher drop in earnings than anticipated. The transition costs and surge in provisions however are in line with expectations. Given the bank's high exposure to the retail sector and unsecured loans, we remain concerned that the slowdown in business activity due to the prevailing pandemic may see the cost of risk rise further. We laud the banks improving efficiency that has kept costs at bay while shielding bottom line growth.

The counter is trading at p/e and p/b multiples of 28.6x and 1.4x respectively.

ABSA vs Indices



Source: AIB-AXYS Research

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Financial Statements

Income Statement	9M19 KES M	2Q20 KES M	3Q20 KES M	9M20 KES M	chg y/y %	chg q/q %
Interest Income	22,895	7,697	7,897	23,215	1.4%	2.6%
Interest Expense	6,065	2,025	2,100	6,114	0.8%	3.7%
Net Interest Income	16,831	5,672	5,797	17,101	1.6%	2.2%
Non Interest Income	7,953	2,540	2,800	8,309	4.5%	10.2%
Total Operating Income	24,784	8,212	8,597	25,410	2.5%	4.7%
Total Operating Expenses	12,612	4,114	4,309	12,478	-1.1%	4.7%
Loan Loss Provision Expense	3,079	4,269	2,212	7,597	146.7%	-48.2%
Operating Profit	12,172	4,098	4,288	12,933	6.2%	4.6%
Profit Before Tax	8,183	-1,286	1,799	3,391	-58.6%	
Current Tax	2,623	-3,743	464	1,468	-44.0%	
Profit After Tax	5,559	-1,367	1,334	1,923	-65.4%	
EPS (KES)	1.02	-0.25	0.25	0.35	-65.7%	
Balance Sheet						
Total Shareholders' Equity	43,998	42,991	44,622	44,622	1.4%	3.8%
Customer Deposits	235,410	248,746	246,551	246,551	4.7%	-0.9%
Total Liabilities	315,768	348,888	343,244	343,244	8.7%	-1.6%
Government and Other Securities	118,495	133,871	134,021	134,021	13.1%	0.1%
Net Loans and advances	194,194	201,948	209,248	209,248	7.8%	3.6%
Total Assets	359,765	391,879	387,867	387,867	7.8%	-1.0%
Key Ratios						
Gross NPL (KES M)	13,879	17,013	16,772	16,772	20.8%	-1.4%
NPL Ratio	7.1%	8.4%	8.0%	8.0%		
Coverage Ratio	0.0%	0.0%	0.0%	0.0%		
Cost of Risk	2.1%	5.3%	4.8%	4.8%		
Loan to Deposits	82.5%	81.2%	84.9%	84.9%		
Yield on Interest Earning Assets	9.8%	9.1%	9.0%	9.0%		
Cost of Funds	3.4%	3.2%	3.3%	3.3%		
NIM	8.7%	5.6%	8.2%	8.2%		
Non Funded/Total Income	32.1%	32.8%	32.7%	32.7%		
Cost to Income Ratio	50.9%	48.6%	49.1%	49.1%		
ROE	16.8%	2.7%	5.7%	5.7%		
ROA	2.1%	0.3%	0.7%	0.7%		
Core Capital/TRWA	14.7%	14.0%	13.9%	13.9%		
Total Capital/TRWA	16.7%	16.7%	16.7%	16.7%		
Liquidity Ratio	39.6%	37.9%	39.1%	39.1%		
P/E (x)				28.6		
P/B (x)				1.4		

Source: AIB-AXYS Research, company fillings



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